



Image 5.23 – First Candle Breakout Entry for Short Trade

Above image shows an example of the first candle breakout for a **Short** trade.

Entry – When the price breaks the low of the first candle and $RSI < 40$

Stop-loss – 0.5% from the entry price

Exit – Either the price should hit stop-loss or EOD exit.

Back Testing Settings

Initial Capital – Rs.350,000

Trading Instrument – Banknifty Futures

Timeframe – 15 Min chart

Trading Window – 2010 to 2021

Position Sizing – Fixed 2 Lots (No increment with capital)

Initial stop-loss – 0.5% away from the entry price

Transaction/Slippage Cost – 0.002%

EOD exit – 3.15 PM (IST)